



AMS: UMG
Universal Music Group N.V.

Oct 21, 2025

Stock Data

Sector	Media/Entertainment
Industry	Music Publishing/Licensing
Price	23.36 EUR
52-Week Range	21.86 EUR - 29.19 EUR
Market Cap	43.00B EUR
Volume	4,260,572



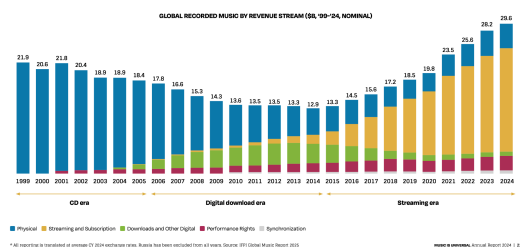
Company Profile

Universal Music Group NV is a company based in the Netherlands which is mainly engaged in music entertainment. The Company is focused on the discovery and development of artists and songwriters and the marketing, promotion, distribution, sales and licensing of audio and audio-visual content. UMG helps the artists succeed by offering them recording studios, expertise, marketing resources, and contacts. In return, UMG typically signs a contract with the artist, granting UMG the copyright to the music recordings that the artist creates.

Universal Music Group (UMG) is the world's leading music company by number of recordings, music merchandising, music-based visual entertainment, and is the second largest music publisher with approximately 5M administered titles.

Industry Macro Context

THE MUSIC INDUSTRY HAS EXPERIENCED A RETURN TO GROWTH, PRIMARILY DRIVEN BY STREAMING



- The global recorded music market grew again in 2024 to about US \$29.6 billion, marking the tenth consecutive year of growth (IFPI)
- Emerging markets (e.g., Asia-Pacific) are expected to grow faster, driven by mobile-first consumption and increasing internet penetration.
- Growth Polarization – Mature markets (U.S., Japan, UK, Germany) are slowing (< 5 %), while emerging markets (China, Brazil, Mexico) are surging (> 9 %).

Investment Thesis

UMG remains the dominant global music rights holder with clear long-term structural tailwinds—streaming penetration, AI-driven licensing, and monetization of catalog IP—but its short-term financial picture is messy. The stock has been weighed down by temporary accounting gains, insider exits, and macro headwinds rather than true operational weakness. The biggest catalyst to keep track of is whether UMG will become listed as a public offering in the USA. Correctly timing this catalyst could lead to huge upside.

Understanding Past Catalysts

Sentiment	Type	Date	Description
★★★★☆	Insiders	Jul 30, 2025	Ackman said UMG trades below its intrinsic value due to the lack of a U.S. listing and S&P 500 eligibility and plans to push for a NYSE/Nasdaq listing through Pershing Square after leaving the board.
★★★★☆	Partnership	Jul 22, 2025	UMG partnered with Liquidax Capital to accelerate development of its music-related AI patents.
★★★☆☆	Institutions	Jun 16, 2025	Goldman Sachs conducted a block trade

selling UMG North America shares, which was fully covered.

★★★★☆ ▾	Partnership ▾	Jun 12, 2025	UMG launched a joint venture with WTSL to expand artist-led intellectual property opportunities.
★★★★☆ ▾	Staffing ▾	Jun 9, 2025	Matt Ellis was appointed Chief Financial Officer effective June 9.
★★★☆☆ ▾	Insiders ▾	May 27, 2025	Luc Van Os sold 2,825 shares of UMG.
★★★☆☆ ▾	Insiders ▾	May 26, 2025	Cyrille Bolloré sold multiple tranches of shares before resigning from UMG's board.
★★★★☆ ▾	Insiders ▾	May 16, 2025	Several directors, including Lawson-Hall, Saban, Sprunk, and Lansing, purchased small identical share tranches.
★★★☆☆ ▾	Staffing ▾	May 14, 2025	Bill Ackman resigned from UMG's board due to time constraints.
★★★☆☆ ▾	Institutions ▾	Apr 30, 2025	Vivendi SE decreased its stake in UMG by 1.16pp, (21.27)M
★★★★☆ ▾	Institutions ▾	Apr 30, 2025	Vincent Bollore increased his stake in UMG by 0.66pp, 12.18M.
★★★★★ ▾	Insiders ▾	Apr 30, 2025	CEO Lucian Grainge purchased over 370,000 shares across two transactions at around €11 per share.
★★★★★ ▾	Earnings ▾	Apr 29, 2025	UMG's Q1 2025 results showed €2.9B revenue, 22.8% adjusted EBITDA margin, and EPS of €0.52 versus €0.33 expected. Streaming revenue rose 2.9% year over year, and physical sales increased 17.6%.
★★★★☆ ▾	Artists/Music ▾	Mar 26, 2025	UMG expanded its partnership with producer Daniel Nigro and his label Amusement Records.
★★★★★ ▾	Insiders ▾	Mar 21, 2025	Lucian Grainge, Chairman of the Board of Directors Transaction Type: Acquisition Transaction Price: 10.81 Number of Shares Traded: 55511
★★★☆☆ ▾	Staffing ▾	Mar 21, 2025	Manning Doherty resigned from the board of directors.
★★★☆☆ ▾	Institutions ▾	Feb 28, 2025	Concerto Partners LLC (A Tencent Subsidiary) goes from holding 19.82% stake in UMG to 0%. Tencent Holdings LLC becomes a stakeholder in UMG at 11.45% outstanding.



Acquisition ▾

Feb 14, 2025

Universal Music Japan acquired a majority stake in Japanese label and management company A-Sketch.



Acquisition ▾

Oct 15, 2024

UMG acquired the remaining shares of PIAS, integrating it with Virgin Music Group while keeping it autonomous.



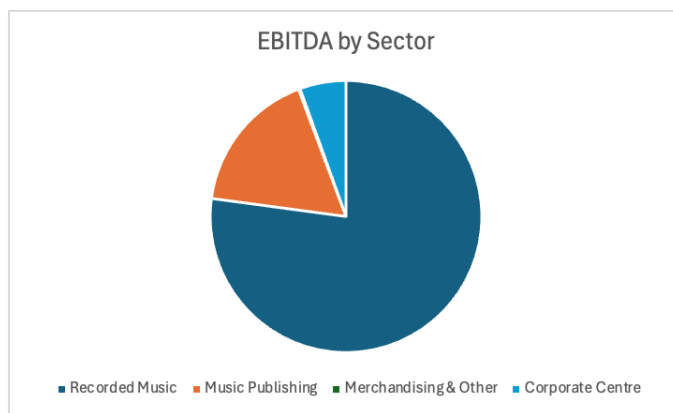
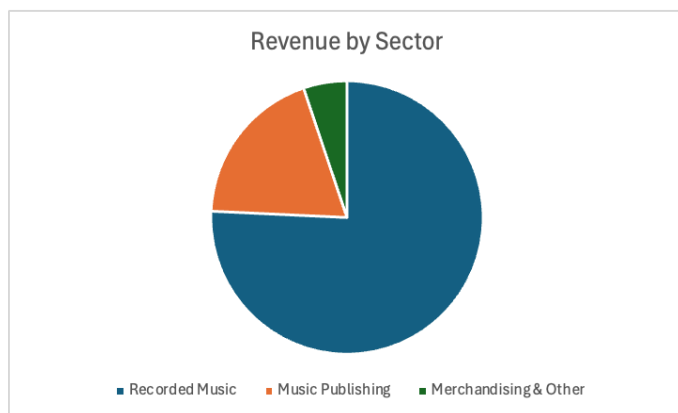
Earnings ▾

Sep 17, 2024

UMG announced long-term financial targets through 2028, including 7%+ revenue CAGR, 10%+ adjusted EBITDA CAGR, and 60–70% free cash flow conversion.

Long Term Prospects

The majority of UMG's revenue and EBITDA comes from their Recorded Music segment.



This is important to keep in mind when tracking growth over time.

	2023 Q1	2023 Q2	2023 Q3	2023 Q4	2024 Q1	2024 Q2	2024 Q3	2024 Q4	2025 Q1	2025 Q2
Streaming Revenue	315	358	357	395	343	343	354	375	353	358
Subscription Revenue	1,014	1,068	1,057	1,137	1,123	1,137	1,137	1,227	1,252	1,197

Subscription Revenue is the largest component of the Recorded Music segment. It has shown signs of steady increase over the long term based on linear regression. This is supported by growing intellectual property value. In H1 2025:

- UMG had 8 of the 10 top best selling albums: Morgan Wallen #1
- UMG songwriters were represented across all 10 best selling albums
- All of the top 6 streamed tracks owned by UMG
- Acquisitions of artists and record labels in Japan, the world's 2nd largest music market by revenue

In fact, UMG is growing steadily in select verticals. Year over year growth compared to H1 2024:

- Subscription Revenues increased 8.4%
- Adjusted EBITDA increased 9.2%, Adjusted EBITDA margin increased 0.7pp
- Adjusted Recorded Music EBITDA margin increased to 26.1% from 25.4% (+0.7pp)
- Settled: *UMG Recordings, Inc. et al v. Frontier Communications Corporation*, Drake Defamation Suit

- CEO purchasing stock consistently over the past two quarters

Headwinds

- Adjusted Music Publishing EBITDA margin decreased to 23.0% from 23.9% (-0.9pp)
 - Still growing double digits (+13.4% rev), but margin slipped to 23.0%, suggesting rising writer payouts or admin costs.
- Ongoing EU investigation on the company's proposed acquisition of Downtown Music Holdings
- Merch: Revenue +29%, but EBITDA -10%; inflationary cost pressure and poor product mix hurt margins
- Artist costs +€199M and product costs +€103M show the difficulty of scaling without eroding margin gains.

UMG's core profitability is intact and growing, but FCF weakness undermines near-term valuation support.

UMG's financial income shot up by €789M in 2024 mainly because its stakes in Spotify and Tencent Music were revalued upward. These are paper gains, not cash. The company didn't sell those shares; it just recorded a higher accounting value for them due to those stocks' appreciation in 2024.

The stock dropped -24% after 2024 Q2 Earnings. Revenue from subscriptions and streaming grew just 4.1%, well below analysts' forecasts of more than 10%. This shows a larger issue with investing in UMG; the unpredictability factor of institutions, insiders, and unpredictable alpha.

Along with HI financials, UMG also announced Bolloré resigned from the Board of Directors. Fear spread in the market because Bolloré was expected to sell UMG shares to help the Bolloré Group's buyout of Vivendi Streaming and publishing continued growth trajectory. Subscription revenue growth lacked the element of positive surprise to consensus that characterized last quarterly results (only 3.6%).

Major Issues

- -24% drop in 2024 Q2, even after a period of steady growth, because UMG did not hit analyst's expectations for growth led to a re-rating.
- Ackman's exit and Bolloré's resignation created investor unease; both have been large symbolic backers
- Multiple insider sales (Bolloré, Van Os) around May-July 2025 spooked the market.
- Inconsistent tracking of the S&P; divergence starting after HI 2025.

